2500 litres of water to produce 1 kg of rice. Excessive allowance of water from canals for flood irrigation did not contribute anything to the productivity of crops on the margin. Instead, it gave India a lot of problems related to water-logging.

Green revolution technologies—high-yielding varieties of seed, later hybrid seeds—required intensive agriculture with the support of fertilizers, pesticides and farm equipment for planting, harvesting and other agricultural operations.

These farm inputs were produced inefficiently mostly in the public sector at much higher cost. Indian farmers, mostly small and marginal, were neither capable nor willing to bear this cost. Moreover, they were unfamiliar with the new agri-technologies and needed to switch over from traditional low-input, low-yield agriculture to high-input, high-yield agriculture. For all these reasons, the government decided to supply most of the new agriculture inputs, including seeds, fertilizers, agriculture equipment, weedicides and insecticides, either free of cost as part of the agriculture demonstration and mini-kits programmes or at highly subsidized prices. It did this by subsidizing the producers of the agriculture inputs; for example, the fertilizer and tractor companies.

Finally, the remaining inputs in agriculture also caught the attention of the government. Free canal water made it harder for the government to refuse subsidizing the use of pump-sets run with electricity to draw underground water in non-canal irrigated areas. The fact that electricity had been nationalized by the 1960s and that its use to draw groundwater facilitated the irrigation of crops in areas underserved and unserved by canals made the case for subsidy still stronger. Further, electoral politics also played a significant role in not charging farmers for the electricity they used. Free electricity led to farmers pumping water from very high depths and also indiscriminately using it to flood the fields, like the canal water farmers. In due course, the electricity subsidy started costing the